

February 24, 2026 03:17 PM GMT

Samsung Electronics | Asia Pacific

The Race to a Trillion Dollars

WHAT'S CHANGED		
Samsung Electronics (005930.KS)	From	To
Price Target	W210,000	W248,000
Samsung Electronics (005935.KS)		
Price Target	W182,000	W210,000

Samsung's trillion-dollar era is driven by fundamentals, not just animal spirits. While largely symbolic, the milestone reflects stronger earnings power, improving margins, durable pricing strength, and sustained AI tailwinds that position the company for long-term growth.

Path to becoming the next trillion-dollar company: Rather than make a judgment call on the stock, we offer a simple model to reverse engineer from any given market capitalization the revenues and profitability thresholds needed to meet it, and allow investors to come to their own conclusions. Intrinsic valuation, where we estimate value and compare to price, yields a sustainable ROE improvement to 13%, long-term revenue growth of 11% p.a., and operating margin of 35% over cycles – all within reach in an AI-driven world.

Does it matter? Reaching a trillion is an arbitrary marker for a company's success – but it can draw attention to investors who missed out on the rising market cap and cause existing investors to take a closer look at what they are getting in return. In the long run it won't mean very much at all, but it proves memory's game-changing role in AI computing and the path to exponential value creation is underway.

What's next? We are raising DRAM pricing from 2Q26 into 2027 and raising our price target on the common shares to W248,000. Memory is increasingly core to AI infrastructure and continues to drive the biggest profit recovery in history. Strong revenue growth rates and earnings multiples are anchored by solid HBM leadership and improvements in foundry profit margin – both a high certainty for Samsung, in our view.

Implications: Trillion-dollar market cap companies can continue to outperform the broader market given their AI upside and long-term earnings power – the "Mag 7" have repeatedly driven the majority of gains in the US stock market over the past five years. We forecast Samsung's profits to surpass those of most "Mag 7" companies by 2027. We expect an abundance of cash, enabling Samsung to dominate buybacks, higher dividends, make acquisitions, and invest for the future.

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Samsung Electronics (005930.KS, 005930 KP)

Top Pick

S. Korea Technology S. Korea				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	W248,000			
Up/downside to price target (%)	24			
Shr price, close (Feb 24, 2026)	W200,000			
52-Week Range	W200,000-52,500			
Sh out, dil, curr (mn)	6,658			
Mkt cap, curr (bn)	W1,445,558			
EV, curr (bn)	W1,320,767			
Avg daily trading value (bn)	W1,738			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (W)**	6,562	35,923	40,810	31,953
EPS (W)§	6,225	20,009	23,353	18,832
EBITDA (W bn)	89,716	318,611	395,469	333,796
P/E	20.5	6.2	5.5	7.0
P/BV	2.1	2.3	1.6	1.3
ROE (%)	11.2	56.9	41.9	23.4
EV/EBITDA	8.3	3.9	2.9	3.0
Div yld (%)	1.4	0.8	1.5	1.3
FCF yld ratio (%)	2.3	5.3	8.9	10.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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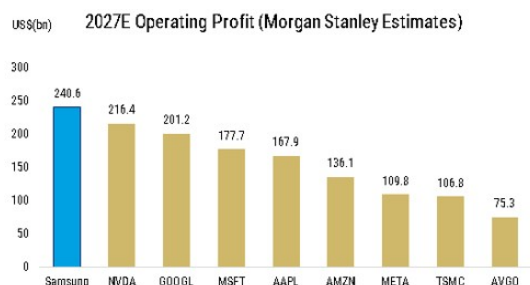
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Samsung's Path to a Trillion-Dollar Market Cap

The next trillion-dollar stock created by AI: Samsung will only need 14% more to move it past the threshold and into the final frontier of trillion-dollar territory, but this is largely driven by earnings and a fundamental outlook that is secular and unprecedented. The list of companies with a US\$1 trillion market capitalization is very small: fewer than 10 have achieved the milestone globally and only a handful of companies have maintained that level.

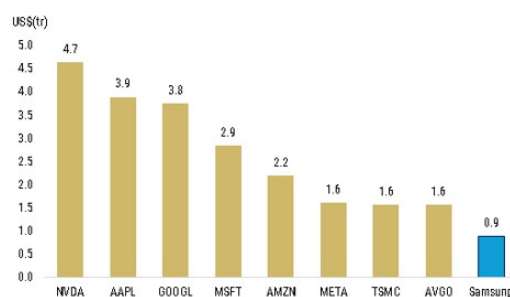
While a large market cap tells you what the market thinks, it does not necessarily tell you that a stock is a future home run investment. Our investment thesis for Samsung is that memory pricing indications and more durable AI-led investments set the stage for continued EPS estimate revisions, while DRAM cycle longevity is underappreciated, in our view, and could unlock a higher multiple. Hence, Samsung is our Top Pick.

Exhibit 1: Trillion-dollar tech companies' profits – Samsung is the most profitable among top market-cap tech companies globally



Source: Morgan Stanley Research

Exhibit 2: Trillion-dollar tech companies by market cap + Samsung



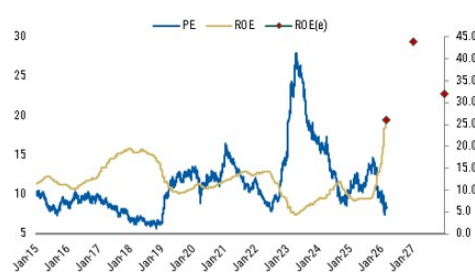
Source: FactSet, Morgan Stanley Research, date as of 20 Feb, 2026

What would it take for Samsung's market cap to grow beyond US\$1 trillion? A trillion-dollar market cap can arise from lower multiples on enormous revenue (e.g., 10x revenue on US\$100bn sales) or higher multiples on strong growth/differentiation (e.g., 20–30x earnings for exceptional franchises). In our view, the most probable profit pathway for Samsung is US\$100bn in sustainable annual profits that can justify US\$1trn at 10x earnings multiples in high-growth or high-quality franchises.

- Let's assume that what worked in the past remains effective and that on average investors continue to pay a 10x P/E multiple for Samsung on peak earnings:** That means the company needs to generate about US\$100bn in net income. Adding back taxes at an average 25% tax rate yields ~US\$133 billion in operating income. We think Samsung can sustain operating margins around 45% on average at scale, so the key would be to get to ~US\$347 billion in annual revenue – our current revenue forecasts for Samsung already exceed this mark at US\$398bn for 2026 and US\$484bn for 2027.
- Another way to look at this is on book value relative to ROE:** Using the previous peak of 2.0x P/B on 2027e book value would yield a figure well over the trillion mark. Based on our current forecast for 2027, 2x P/B would correspond to US\$1.7 trillion value. We note that the previous 2x P/B was relative to peak ROE of 23% in 2020 vs. our forecast for end-2026 ROE doubling that level at 46%.

Exhibit 3: Samsung – historical peak P/E of 10x on peak EPS

Source: FactSet, morgan Stanley Research

Exhibit 4: Samsung – historical P/B relative to ROE

Source: FactSet, morgan Stanley Research

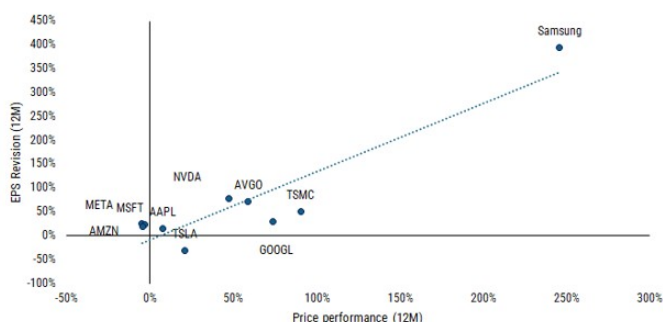
Is it justified by fundamentals or an element of hype? Instead of asking if Samsung is cheap or expensive or worth a trillion, we can frame the debate by looking at what revenues, margins, and reinvestment the company would need to achieve to justify that market cap.

An intrinsic value approach can be useful because it values a company as a business, via residual income or the intrinsic value of Samsung equity (the present value of all the future returns on equity discounted by the rate of return demanded by equity investors – i.e., the cost of equity). The break-even long-term revenue growth rate to get to a trillion dollars is 11%, with operating margins of 35% and sustainable ROE near 13%. These are surprisingly modest targets; we see the 40-45% CAGR AI infrastructure spending forecast (2025-30e) driving higher sustainable long-term growth for the company well above 11% and multiple levers on capital returns to keep sustainable ROE exceeding 13%. The memory industry is capacity-constrained and plans to accelerate expansion based on demand signals. This drives a substantially higher revenue growth trajectory given the AI infrastructure TAM, leaving Samsung undervalued.

Focus on earnings and valuation, not size: Market cap is notable – but paying attention to how the stocks are priced relative to their fundamental outlooks is more important, in our view. Historically, most trillion-dollar companies continued to outperform well after hitting their market cap thresholds, largely driven by earnings estimate revisions. Microsoft or Tesla may have been the exception, but extending the time line would have given a different outcome.

From this perspective, the upside opportunity for Samsung's market cap is significant, reflecting not only its financial success but also the company's ability to innovate, adapt, and shape the future of technology and business. US megacap stocks trade at nearly twice the multiples of non-U.S. stocks, with an average trailing P/E often exceeding 30x, driven by dominant market positions, consistent innovation, and massive cash flow generation.

Exhibit 5: Trillion-dollar tech companies around the globe: last 12 months' EPS estimate revision vs. last 12 months' price performance after achieving the trillion-dollar mark



Source: FactSet, Morgan Stanley Research

What's next?

AI and data centers are consuming everything: AI needs a lot of GPUs to generate tokens but even more memory to remember its training data and draw inferences from it. The world was not prepared for commodity memory needs in the AI revolution and has broken the memory cycle, with no signs of an immediate return to the old days. The role of AI technology is continuing to shift dramatically towards memory over the next decade, with top-line revenue growth mainly AI-driven and supply remaining inelastic and meeting an accelerated wave of agentic AI demand. AI adoption is creating new value for memory growth in deployment, scale, and complexity. Memory component vendors are quickly becoming memory solution vendors.

Near-term pricing upside sets the stage for continued EPS estimate revisions: Spot pricing for 64GB RDIMM server DRAM has moved substantially higher since 1Q26 contract prices were settled two weeks ago and near +100% since, with worsening shortages in every end market. This means that mainstream pricing can double again and still be >20% below spot – and spot is still going up. Further, we have confidence that the rise in mainstream ASP per GB may approach the high teens (%) – we are seeing buyers who were not early to lock in pricing paying close to that much already.

Currently, consensus estimates have Samsung's earnings peaking at ~W8,817 EPS in 3Q27, which should be achievable with like-for-like ASPs up 20-25% from the 2Q26 levels. So we could see a scenario where Samsung is reporting EPS levels not in consensus models for another year and a half. That is going to keep us tactically positive on the stock because we would not overthink that kind of upside; however, investors' pushback revolves around the multiple. The current 5.6x P/E implied in our W40,778 EPS number for 2027 would be seen by investors as more than fair for a cyclical company where gross margins are 10-15 points above the previous record peak. We like the risk-reward implicit in that: the stock trades closer to 5x peak EPS power than 10x (2021 cycle peak). If the cycle lasts into 2027 and beyond, the implications of repricing a stock based on a 2027 peak number vs 2026 will prove significant even without multiple expansion.

Meanwhile, that also needs to be combined with meaningful cash generation. At ~US \$30bn a quarter Samsung will generate 10% of the current EV in a year, and potentially large cash prepayments would likely push balance sheet cash much higher.

Supply growth in 2026 will do little to alleviate the intense shortage: Both Samsung's and SK hynix's DRAM bit shipments are flat to growing in low single digits in 1Q26. NAND shipments are +5% for Samsung off a previous low base, with negative growth for Hynix. We expect further pricing increases through this year. Samsung does not guide pricing, but we think that could translate to nearly 50% QoQ growth in DRAM/NAND ASPs for 2Q26. Even assuming some of those headline pricing increases don't translate to realized prices for the company, 50% should be a low bar.

- **There are minimal inventories on the balance sheets of the producers:** The customers who are not getting the supply they need are unable to build inventory, but this is also true for the most important customers, who are getting all the incremental supply as they continue to pay above prevailing contract prices to get access to supply even 30 days earlier.
- **We expect to see only 7% YoY growth in DRAM wafer starts exiting 2026** from Samsung and Hynix fab output growth that is not being caught up in the near term from CXMT Shanghai, Hynix M15X, and Samsung P4L. Micron's fabs in Boise and with Powerchip don't improve its capacity until 2027.
- **Supply is unable to keep pace with a combined US\$200bn of annualized AI revenue over the next 12 months:** This is coming from:
 - Nvidia, which is expected to add another US\$30bn in quarterly revenues between now and the end of 2026;
 - AMD's data center segment, which is expected to double to US\$10bn a quarter,
 - Broadcom's semiconductor business, which is set to double to about US\$25bn a quarter; and
 - An incremental US\$1bn in revenues from the combination of Marvell and Intel.
- **Chinese memory risk is minimal:** Both CXMT's and YMTC's expansions are limited by:
 - Lack of supply – Chinese memory companies are sold out as badly as anyone, and
 - Technology that is well behind mainstream, especially for DRAM (mainly supplying 4.8Ghz DRAM vs. mainstream 5.6Ghz); China continues to face restrictions precluding it from buying US capital equipment, which is a major challenge with single-digit market share by revenue.

What defines a trillion-dollar company?

The trillion-dollar tech club is dominated by tech giants – AI-driven leaders: The primary catalyst for these valuations is the explosive growth in AI, cloud infrastructure, and semiconductor innovation. All of them are part of the fast-growing technology sector and achieve this milestone through innovative technologies, dominant market positions, and global reach, creating indispensable products used by billions. These characteristics have propelled them into this elite category, showcasing the immense power and influence of the tech industry in the modern economy.

Key factors that drive these companies are:

- **Market dominance in high-growth industries and influence:** These companies often become the industry standard, such as Microsoft in software or Apple in consumer technology. They aim to control large shares of their markets. Samsung belongs to the consumer tech giant category made up of global consumer reach, strong brand, and diversified monetization (semiconductors, hardware, services).
- **Durable competitive advantages:** A trillion-dollar business combines an enormous addressable market, durable competitive advantages such as network effects, platforms, proprietary technology, strong brands, exclusive ecosystems, regulatory moats, or control of scarce inputs that protect margins and market share. Practically, this translates into hundreds of billions in revenue or sustainable cash flow, sustained growth, and strategic dominance that make a trillion-dollar valuation credible to markets.
- **High profitability:** They are trendsetters in cutting-edge technologies, frequently investing heavily in R&D to maintain a competitive edge, often generating high (e.g., 60%+) gross margins. Most of the time companies have recurring, high-margin revenue such as subscription models or platform take-rates.
- **Global scale and innovation:** They are able to sell broadly across regions, channels, and customer segments to convert large total addressable market into sales. To reach a trillion-dollar valuation, products and services must have a massive, international user base. Samsung spent over US\$28bn in R&D last year, dwarfing its closest semiconductor peers (Nvidia US\$13bn, TSMC US\$7bn, Micron US\$4bn) and closer to Microsoft's US\$32bn R&D spending.
- **Persistent growth, availability of capital and reinvestment:** Sustained, long-term growth is necessary, often driven by reinvesting profits into new products. Robust cash flows and low debt-to-equity ratios can withstand potential economic downturns while sizable net cash balances are used to buy up promising new platforms and businesses.
- **High investor confidence:** Consistent, long-term growth builds investor trust, which keeps share prices high. Over the past decade, megacap-focused funds like the Vanguard Mega Cap Growth ETF have generated returns of over 380%, far exceeding the 225% return of the S&P 500.

Bottom line: trillion-dollar companies extend their influence far beyond financial realms, shaping global economies, societies, and technological landscapes. Sustaining such high value is challenging, from market fluctuations (memory cycles) to internal intricacies such as visionary leadership, corporate culture, strategic decisions and risk-taking.

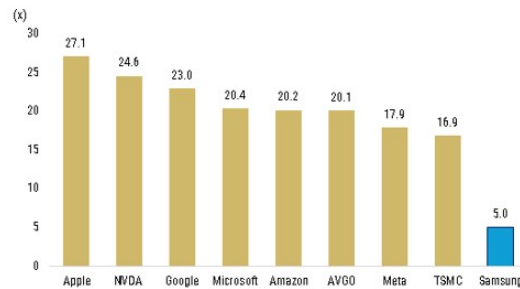
Does it really matter?

US\$927bn is no different from US\$1trn market cap – it's completely arbitrary: A trillion-dollar market cap matters primarily as a psychological milestone signaling extreme investor confidence, massive scale, and market dominance, rather than a direct indicator of immediate fundamental value. But the human brain likes to use round numbers and being worth a nice round number like a trillion catches headlines. It also helps people feel like a company is safe, while the popularity of tech stocks and the growth of these stocks can disproportionately affect the amount of investment dollars available to other companies.

Passive momentum is an example: as capital flows into ETFs, it is automatically funneled back into these giants, creating a self-reinforcing price loop.

The higher the degree of trust investors have that the company's stock will grow in value, the higher the price they are willing to pay. For Samsung, valuation is not a real problem vs. trillion-dollar companies – the stock is still at "value" multiples.

Exhibit 6: The globe's largest tech companies: 2027e Price/Earnings



Source: Morgan Stanley Research

Is it sustainable?

A very big market opportunity: We see a credible pathway for Samsung to sustain and exceed a US\$1trn market capitalization, anchored not in a cyclical recovery but in structural participation across multiple platforms. The opportunity is defined less by the absolute size of end markets and more by Samsung's ability to capture economically meaningful share in segments where silicon intensity, vertical integration, and platform leverage drive operating profit expansion.

The incremental opportunity is concentrated in three structural vectors:

1. AI infrastructure
2. Physical AI ([Samsung Humanoids – From Digital to Physical AI](#))
3. Pervasive edge connectivity.

These markets are characterized by rapidly rising semiconductor content per device, escalating performance requirements, tighter power-efficiency constraints, and higher barriers to entry.

Samsung's capabilities in leading edge foundry, advanced semiconductor packaging, high performance memory, image sensors, and vertically integrated device manufacturing position it at multiple capture points across the value chain. Importantly, these are not isolated product cycles but platform-level expansions that compound over time as computing demand, connectivity, and autonomy scale simultaneously.

Samsung's established businesses in memory, smartphones, OLED display panels, foundry, and consumer electronics provide both operating scale and cashflow resilience. This installed base funds expansion into higher-growth, structurally advantaged segments while enabling ecosystem integration across components and end devices. The investment thesis therefore hinges on Samsung evolving from a predominantly memory-driven earnings profile to a structurally diversified semiconductor and systems platforms that are leveraged to AI and physical AI.

If execution succeeds, revenue growth combined with improved earnings durability can support materially higher through-cycle operating income and justify sustained participation in trillion dollar valuation territory. To exceed US\$1trn sustainably, Samsung needs to demonstrate:

1. Scaled AI-linked revenue streams with defensible technological differentiation;
2. Durable operating margins supported by mix shift, technological leadership, and vertical integration;
3. Structural multiple support driven by reduced cyclicality, improved capital efficiency, and enhanced return on invested capital.

Key risks: It is important for investors to keep in mind that the mighty can fall, memory has been cyclical in nature because it is supply-driven, and market expectations of the future growth and profitability of a company can change quickly. Margins are impossible to sustain as profits that big are a magnet for higher capacity builds and competition. Other potential risks include:

- **Cyclical:** declines in memory pricing and growth expectations materially reduce high multiples;
- **Moat:** HBM commoditization or disruptive entrants eroding market position;
- **Execution:** product missteps, especially HBM and poor capital allocation, or governance issues;
- **Macroeconomic:** interest-rate spikes, liquidity drops, or sector-wide repricing.

What's Changed

We raise our HBM margin assumptions for Samsung for the next three years: They are now at parity with SK hynix (previously at a discount), reflecting Samsung's catch-up on HBM4 execution, market share, and its more proactive pricing strategy. This is underpinned by Samsung's vertically integrated HBM manufacturing structure, particularly its ability to manufacture the HBM base die in-house via its leading edge foundry, which strengthens technology, cost competitiveness, and margin resilience.

We also raise our commodity DRAM and NAND margin assumptions: This is driven by stronger-than-expected near-term (2Q26) pricing (DRAM from +20% to +40%) and our expectation that pricing will stabilize at a structurally higher level for longer. Our EPS estimates change +23% for 2026, +16% for 2027, and -9% for 2028. We assume that substantial wafer capacity additions from 2028 onward will exert downward pressure on memory ASPs. Given the high base and cycle, we expect 2028 ASPs to decline materially on a sequential basis.

However, we increase our long-term average HBM margin assumption from about 50% to the low-60s (%) range, largely driven by improved execution for Samsung.

Key long-term assumptions in our residual income model are unchanged. Consequently, our base case value, which is also our price target, increases from W210,000 to W248,000, implying 2.7x 2026e P/B.

Incorporating a higher-for-longer long-term OPM profile for the memory segment, we increase our bull case earnings and valuation scenarios accordingly. Our new bull case value is W321K (was W280K), implying 2026e P/B of 3.3x and P/E of 8.9x.

We raise our bear case assumptions to reflect structural changes in the memory industry driven by AI adoption, including a structurally improved product mix and margin resilience. Our new bear case value is W102K (was W80K), implying 2026e P/B of 1.2x.

We assume that the preferred share discount narrows to the 10-year average of 15% (was 13%, the 2020-22 level). Accordingly, our preferred share price target rises from W182K to W210K. (Bull case value: to W272K from W243K. Bear case value: to W102K from W69.6K).

Exhibit 7: What's changed in our estimates

(W bn)	FY26E			FY27E			FY28E		
	Previous	Revised	Change	Previous	Revised	Change	Previous	Revised	Change
Sales	521,490	573,807	10%	647,680	697,803	8%	700,691	672,925	-4%
Semiconductor (DS)	334,762	386,042	15%	437,900	485,922	11%	455,940	427,946	-6%
Memory	299,360	350,390	17%	388,347	435,727	12%	403,276	375,001	-7%
Display	38,669	38,926	1%	39,895	40,402	1%	44,300	44,528	1%
Mobile/Network	115,517	116,296	1%	129,753	131,348	1%	154,549	154,549	0%
Harman	19,822	19,822	0%	22,310	22,310	0%	22,979	22,979	0%
Operating Profit	245,686	298,234	21%	317,379	365,781	15%	296,743	269,252	-9%
Semiconductor (DS)	213,070	265,550	25%	279,284	327,480	17%	272,566	245,041	-10%
Memory	214,668	267,164	24%	279,302	327,495	17%	271,118	243,587	-10%
Display	5,532	5,569	1%	5,452	5,523	1%	6,391	6,424	1%
Mobile/Network	3,163	3,195	1%	9,885	10,021	1%	12,602	12,602	0%
Harman	1,982	1,982	0%	2,231	2,231	0%	2,298	2,298	0%
OP Margin	47.1%	52.0%	4.9ppt	49.0%	52.4%	3.4ppt	42.4%	40.0%	-2.3ppt
Semiconductor (DS)	63.6%	68.8%	5.1ppt	63.8%	67.4%	3.6ppt	59.8%	57.3%	-2.5ppt
Memory	71.7%	76.2%	4.5ppt	71.9%	75.2%	3.2ppt	67.2%	65.0%	-2.3ppt
Display	14.3%	14.3%	0.0ppt	13.7%	13.7%	0.0ppt	14.4%	14.4%	0.0ppt
Mobile/Network	2.7%	2.7%	0.0ppt	7.6%	7.6%	0.0ppt	8.2%	8.2%	0.0ppt
Harman	10.0%	10.0%	0.0ppt	10.0%	10.0%	0.0ppt	10.0%	10.0%	0.0ppt
Net Profit	197,226	242,127	23%	236,535	274,719	16%	235,898	215,840	-9%
EPS for consensus	29,263.6	35,923.2	23%	35,106.3	40,778.1	16%	34,849.9	31,886.7	-9%

Source: Company data, Morgan Stanley Research estimates.

Exhibit 8: Components Revision

	FY26E			FY27E			FY28E		
	Previous	Revised	Change	Previous	Revised	Change	Previous	Revised	Change
Mobile shipment (mn)	283	283	0.0%	292	292	0.0%	301	301	0.0%
Shipment YoY	(0)	(1.3%)	0.0%	0	2.9%	0.0%	0	(100.0%)	0.0%
Mobile blended ASP (US\$)	258	258	0.0%	305	305	0.0%	350	350	0.0%
OPM	2.7%	2.7%	0.0ppt	7.6%	7.6%	0.0ppt	8.2%	8.2%	0.0ppt
DRAM OP	157,137	209,299	33.2%	210,507	257,887	22.5%	214,063	184,396	(13.9%)
DRAM OPM	78.2%	83.3%	6.5%	78.5%	82.1%	4.6%	76.5%	73.4%	(3.9%)
DRAM Bit (1Gb Eq, mn)	137,781	137,787	0.0%	164,572	164,635	0.0%	189,151	189,036	(0.1%)
DRAM Bit Growth	21.7%	21.7%	0.0%	19.4%	19.5%	0.0%	14.9%	14.8%	(0.1%)
DRAM ASP (1Gb eq, US\$)	1.01	1.26	25.1%	1.24	1.42	14.7%	1.13	1.01	(10.3%)
DRAM ASP Growth	158.5%	223.4%	64.9%	23.3%	13.1%	(10.2%)	(9.0%)	(28.9%)	(19.8%)
HBM OP	19,209	26,092	35.8%	28,605	39,375	37.7%	31,484	35,535	12.9%
HBM OPM	57.4%	68.0%	18.3%	58.2%	68.3%	17.3%	60.5%	64.2%	6.2%
HBM Bit (1Gb Eq, mn)	13,069.1	13,075	0.05%	20,059.4	20,122	0.31%	20,481.6	20,367	(0.56%)
HBM Bit Growth	149.54%	145.66%	(0.12%)	53.49%	53.89%	0.41%	2.10%	1.22%	(0.89%)
HBM ASP (1Gb eq, US\$)	1.76	2.02	14.73%	1.86	2.14	14.62%	1.94	2.07	6.88%
HBM ASP Growth YoY	4.65%	20.07%	15.41%	5.62%	5.52%	(0.10%)	3.93%	(3.10%)	(7.02%)
NAND OP	57,531	57,866	0.6%	68,795	69,608	1.2%	57,055	59,191	3.7%
NAND OPM	58.5%	58.4%	(0.0%)	57.3%	57.3%	(0.0%)	46.3%	47.8%	3.2%
NAND Bit (1Gb, mn)	375,583	375,583	0.0%	450,858	450,858	0.0%	517,079	517,079	0.0%
NAND Bit Growth	17.6%	17.6%	0.0%	20.0%	20.0%	0.0%	14.7%	14.7%	0.0%
NAND ASP (1Gb eq, US\$)	0.18	0.18	0.6%	0.20	0.20	(0.8%)	0.18	0.18	0.5%
NAND ASP Growth	109.1%	110.3%	1.3%	12.2%	10.6%	(1.6%)	(10.4%)	(9.2%)	(1.2%)
USD/KRW rate	1,450	1,450	0.0%	1,314	1,341	2.1%	1,312	1,312	0.0%
Number of Shares (mn)	6,607	6,607	0.0%	6,607	6,607	0.0%	6,607	6,607	0.0%

Source: Company data, Morgan Stanley Research estimates

Exhibit 9: Residual Income Model

RIM													
Fiscal period	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E	Terminal
Forecast year	0	0	1	2	3	4	5	6	7	8	9	10	value
Total Shareholder Equity	429,422	664,491	929,019	1,136,645	1,320,986	1,506,427	1,692,851	1,876,723	2,105,407	2,381,468	2,724,593	3,145,912	2,806,331
Residual Income	179,227	183,092	97,064	60,241	40,079	19,678	(4,164)	16,924	35,280	66,740	100,978	61,379	
Core Net Profit	45,225	242,127	274,719	215,840	201,555	202,655	203,637	201,087	245,897	293,275	360,339	438,532	371,149
ROE		44.27%	34.48%	20.90%	16.40%	14.34%	12.73%	11.27%	12.35%	13.07%	14.11%	14.94%	13.6%
Discount period		0.00	1.00	2.00	3.00	4.00	5.00	6.00	7.00	8.00	9.00	10.00	
Discount factor		1.00	0.90	0.80	0.72	0.65	0.58	0.52	0.47	0.42	0.38	0.34	0.38
PV of Equity Capital		179,227.4	164,208.4	78,074.6	43,457.6	25,931.0	11,418.7	(2,166.9)	7,899.4	14,768.3	25,056.0	34,000.0	23,043.4
Beginning Equity Capital		929,019											
PV of Equity Capital		425,690											
PV of Continuing Value		279,232											
Total Equity Value		1,633,941											
FD shares outstanding ('000)		6,606,854											
Per share value		248,000											
Current Price		200,000											
Upside Potential		24%											

Source: Company data, Morgan Stanley Research estimates.

Exhibit 10: NTM P/E



Source: FactSet, Morgan Stanley

Exhibit 11: NTM P/B



Source: FactSet, Morgan Stanley

Financial Summary

Exhibit 12: Samsung Electronics – financial summary

Income Statement					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	300,871	333,669	573,807	697,803	672,925
Gross Profit	114,309	131,519	410,049	507,680	431,840
SG&A	-81,583	-87,858	-131,976	-160,495	-151,942
EBITDA	75,357	89,616	338,312	414,349	323,985
Operating profit/loss	32,726	43,561	298,234	365,781	269,252
Financial Income	3,718	4,638	6,783	9,593	12,722
Pretax profit	37,530	49,513	284,856	356,778	280,312
Net Profit	34,451	45,225	242,127	274,719	215,840
Margins					
Gross Margin	38.0%	39.4%	71.5%	72.8%	64.2%
EBITDA Margin	25.0%	26.9%	59.0%	59.4%	48.1%
Operating Margin	10.9%	13.1%	52.0%	52.4%	40.0%
Net Income	11.5%	13.6%	42.2%	39.4%	32.1%
Growth Rates					
Sales		10.9%	72.0%	21.6%	-3.6%
EBITDA		18.9%	277.5%	22.5%	-21.8%
Operating Income		33.1%	584.6%	22.6%	-26.4%
Net Income		31.3%	435.4%	13.5%	-21.4%
Balance Sheet					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
Cash & Cash Equivalents	53,706	52,631	130,249	253,658	388,141
Trade and other receivables	53,246	64,233	111,917	129,068	122,315
Inventory	51,755	48,065	50,129	64,589	70,523
Other current assets	9,446	12,388	12,388	12,388	12,388
Current Assets	227,062	232,361	359,727	514,748	648,412
Tangible Assets	205,945	204,985	260,212	298,775	323,044
Intangible Assets	23,739	26,485	33,621	38,603	41,739
Other non-current assets	31,793	31,533	31,533	31,533	31,533
Total Assets	514,532	528,020	760,477	1,041,103	1,266,642
Trade and other payables	61,523	45,734	36,287	42,720	47,815
Short term Borrowings	15,380	12,437	19,271	28,936	41,754
Other current liabilities	6,366	8,720	8,720	8,720	8,720
Current Liabilities	93,326	75,699	73,087	89,185	107,098
Borrowings	3,936	5,641	5,641	5,641	5,641
Long-term other payables	5,510	5,826	5,826	5,826	5,826
Other Non-current liabilities	9,039	10,984	10,984	10,984	10,984
Total Liabilities	112,340	98,598	95,986	112,084	129,997
Capital Stock	898	898	898	898	898
Retained Earnings	370,513	400,243	630,524	889,747	1,092,204
Total Shareholders' Equity	402,192	429,422	664,491	929,019	1,136,645
Total Liabilities & SE	514,532	528,020	760,477	1,041,103	1,266,642
Net Debt	(73,984)	(71,518)	(135,468)	(239,547)	(348,394)
Cash Flow Statement					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
Net Income (Loss)	34,451	45,225	242,127	274,719	215,840
Add: Depreciation & Amortization	42,631	46,055	40,078	48,567	54,733
Less: Changes in Working Capital	1,568	(32,085)	(59,195)	(25,179)	5,915
Less: Net tax expense	(35,224)	(11,219)	(42,728)	(82,059)	(64,472)
Less: Net interest expense	21,409	7,357	6,834	9,665	12,818
Cash flows from operating activities	72,983	70,987	187,116	225,714	224,834
Acquisition of PP&E	(51,250)	(47,303)	(102,441)	(92,113)	(82,137)
Other Operating cashflows	8,148	15,655	0	0	0
Cash flows from Investing activities	(85,382)	(49,021)	(102,441)	(92,113)	(82,137)
Changes in LT Borrowings	405	1	0	0	0
Changes in Short term Borrowing	5,871	(3,342)	0	0	0
Dividend Payout	0	0	0	0	0
Other Investing Cashflows	(1,373)	(2)	0	0	0
Cash flows from Financing activities	(7,797)	(22,676)	(7,058)	(10,192)	(8,214)
Cash and cash equivalents - closing	53,706	52,631	130,249	253,658	388,141
Increase(decrease) in cash & cash equivalents	(20,196)	(710)	77,617	123,410	134,483
FX impact	4,821	(364)	0	0	0
Ratio Analysis					
(W bn)	FY24A	FY25A	FY26E	FY27E	FY28E
ROE (AOY)	8.8%	10.5%	43.4%	33.8%	20.4%
ROE (EOY)	8.4%	10.2%	35.7%	29.0%	18.5%
ROA	6.9%	8.4%	36.8%	29.9%	18.3%
ROIC (AOY)	7.6%	9.3%	49.2%	42.0%	26.1%
Asset Turnover	1	1	1	1	1
Days sales outstanding	65	70	71	68	67
Days inventory outstanding	71	60	62	67	66
Days payable outstanding	105	73	69	75	83
Current Ratio	2.4	3.1	4.9	5.8	6.1
Debt to Equity	0.3	0.2	0.1	0.1	0.1
Net Debt to Equity	(0.2)	(0.2)	(0.2)	(0.3)	(0.3)
EPS, for consensus	4,956	6,562	35,923	40,778	31,887
BVPS (MW)	57,742	62,628	97,966	137,201	167,845
DPS	1,446	1,662	3,142	2,980	2,605
EBITDA	75,357	89,616	338,312	414,349	323,985
P/E	16	20	6	5	6
P/BV	1.41	2.05	2.04	1.46	1.19
EV/EBITDA	6	9	4	3	3
EV/Sales	1.59	2.35	2.07	1.55	1.45
Dividend Yield (%)	1.77	1.29	1.57	1.49	1.30
FCF	19,413	20,277	84,675	133,601	142,697
Share Price (KRW)	81,500	128,500	200,000	200,000	200,000
Shares Outstanding (000 AOY)	6,783,369	6,657,842	6,606,854	6,606,854	6,606,854

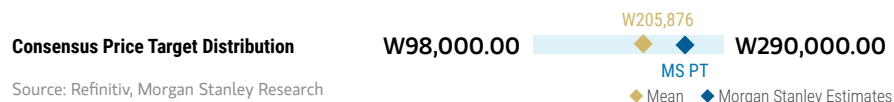
Source: Company data, Morgan Stanley Research estimates.

Risk Reward – Samsung Electronics (005930.KS) Top Pick

Improvement in HBM + Commodity Up-cycle = Stock Re-rating

PRICE TARGET W248,000

Base case, residual income (RI) valuation model, cross-checked against P/BV analysis. At our price target, the 2026e P/B multiple would be s 2.7x vs. its commodity cycle peak of 2.0x. We assume an 11.5% cost of equity, based on a beta of 1.0, and our terminal growth rate assumption is 3%.



RISK REWARD CHART

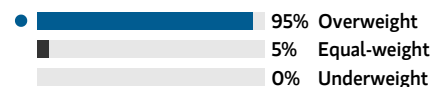


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect pricing to move well beyond historical mean reversion on a price per gigabit basis from here, which should create further incremental tailwinds to forecasts for 2026-27. The commodity cycle is better than feared thanks to AI inference demand.
- We expect HBM improvement and potential market share gains from 2026.
- Rising prices and falling inventories, along with supply cuts and improving demand, are positives for margin recovery in the memory business.
- Implied 2026e P/B at our price target is 2.7x vs. its commodity cycle peak of 2.0x.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

W321,000

HPC drives sustained memory pricing

High-performance computing drives sustained memory pricing strength and capital returns exceed expectations: We assume continued robust demand growth for memory and OLED with stabilization in the macro environment and China's failure to successfully enter the memory semiconductor industry. Our bull case valuation is at 3.3x 2026e P/B.

BASE CASE

W248,000

Commodity cycle recovery

We expect favorable commodity pricing trends to bode well for Samsung's share price with improving HBM market share and new product execution. Our base case reflects our relatively conservative view on HBM progress this year, but sequential improvement in 2026 and beyond support Samsung's earnings growth and stock re-rating amid low expectations. 2026e implied P/B at 2.7x.

BEAR CASE

W102,000

Slower memory consumption, competition from China

Prolonged consumption slowdown and Chinese competition: Weaker macro conditions stall near-term global consumption of IT products. Chinese competition disrupts OLED and memory profitability. We also assume demand for server content slumps amid a slowdown in data center growth. DRAM and NAND ASP price hikes are smaller than expected in 2026. Our bear case valuation is at 1.2x 2026e P/B, closer to historical trough levels.

Risk Reward – Samsung Electronics (005930.KS)

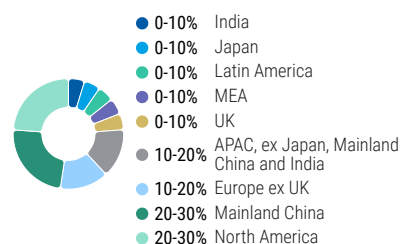
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (%)	10.9	72.0	21.6	(3.6)
OPM (%)	13.1	52.0	52.4	40.0
CAPEX (%)	(4,730,271.0)	(10,244,113.1)	(8,674,361.3)	(8,213,748.0)

INVESTMENT DRIVERS

- Supply-demand outlook for memory and OLED
- Smartphone market share and margins
- Capital returns of 50% FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New technological developments, especially in memory and foldable displays
- Longer-lasting memory up-cycle from AI and hyperscale data center growth

RISKS TO DOWNSIDE

- Product and memory cycle, including Apple and new Chinese smartphone competition
- Earnings growth concentration in semiconductors

OWNERSHIP POSITIONING

Inst. Owners, % Active **77.7%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (W, bn) 354,363 **471,180** **573,807**

EBITDA (W, bn) 89,358 **201,386** **318,611**

EBIT (W, bn) 55,784 **157,807** **278,073**

EPS (W) 7,172 **20,009** **35,923**

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Samsung Electronics (005935.KS)

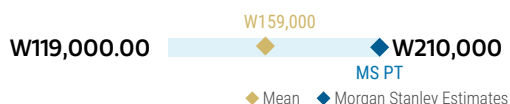
Overweight with discount to common shares to narrow

PRICE TARGET W210,000

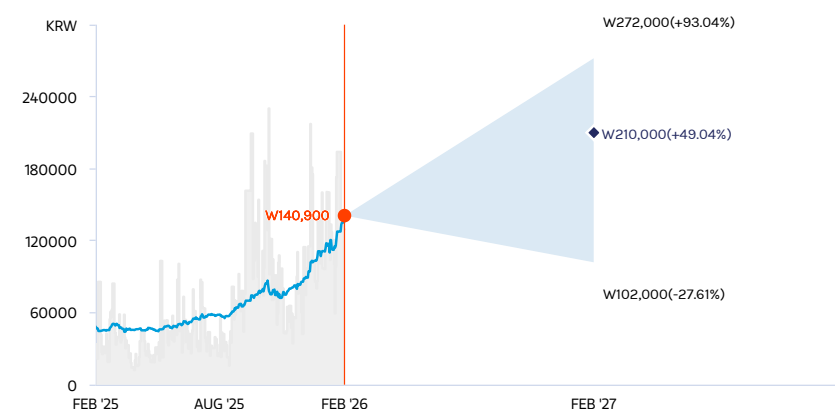
Our preferred share price target is based on our price target for the common shares and our assumption that the preferred shares' discount to the common shares is 15% (2016-26 level). We assume an 11.5% cost of equity, based on a beta of 1.0, and our terminal growth rate assumption is 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



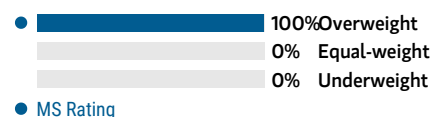
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect pricing to move well beyond historical mean reversion on a price per gigabit basis from here, which should create further incremental tailwinds to forecasts for 2026-27. The commodity cycle is better than feared thanks to AI inference demand.
- We expect HBM improvement and potential market share gains from 2026.
- Rising prices and falling inventories, along with supply cuts and improving demand, are positives for margin recovery in the memory business.
- Common shares' implied 2026e P/B is 2.7x vs. its commodity cycle peak of 2.0x. We assume that the preferred shares' discount to the common shares is 15% (the 10-year average).

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

W272,000

15% discount to bull case value for common shares

High-performance computing drives sustained memory pricing strength and capital returns exceed expectations: We assume continued robust demand growth for memory and OLED with stabilization in the macro environment and China's failure to successfully enter the memory semiconductor industry.

BASE CASE

W210,000

15% discount to base case value for common shares

We expect favorable commodity pricing trends to bode well for Samsung's share price with improving HBM market share and new product execution. Our base case reflects our relatively optimistic view on HBM progress this year, with sequential improvement throughout 2026 and beyond support the company's earnings growth and stock re-rating amid low expectations.

BEAR CASE

W102,000

13% discount to bear case value for common shares

Prolonged consumption slowdown and Chinese competition: Weaker macro conditions stall near-term global consumption of IT products. Chinese competition disrupts OLED and memory profitability. We also assume demand for server content slumps amid a slowdown in data center growth. DRAM and NAND ASP price hikes are smaller than expected in 2026/2027.

Risk Reward – Samsung Electronics (005935.KS)

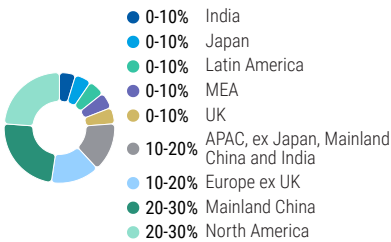
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Revenue Growth (%)	10.9	72.0	21.6	(3.6)
OPM (%)	13.1	52.0	52.4	40.0
CAPEX (%)	(4,730,271.0)	(10,244,113.1)	(9,211,275.7)	(8,213,748.0)

INVESTMENT DRIVERS

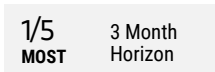
- Supply-demand outlook for memory and OLED
- Smartphone market share and margins
- Capital returns of 50% FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New technology developments, especially in memory and foldable displays
- Longer-lasting memory up-cycle from AI and hyperscale data center growth
- Further narrowing of discount to common shares

RISKS TO DOWNSIDE

- Product and memory cycle, including Apple and new Chinese smartphone competition
- Earnings growth concentration in semiconductors
- Deepening of discount to common shares

OWNERSHIP POSITIONING

Inst. Owners, % Active 77.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of LG Electronics, SK hynix.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from LG Electronics, Samsung SDI, SK hynix.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Ecopro BM, HD Hyundai Electric Co Ltd, L&F Co Ltd, LG Display, LG Electronics, **Samsung Electronics**, Samsung SDI, SK hynix.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Ecopro BM, HD Hyundai Electric Co Ltd, L&F Co Ltd, LG Display, LG Electronics, **Samsung Electronics**, Samsung SDI, SK hynix.

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Global Stock Ratings Distribution

(as of January 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1520	41%	425	48%	28%	685	42%
Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

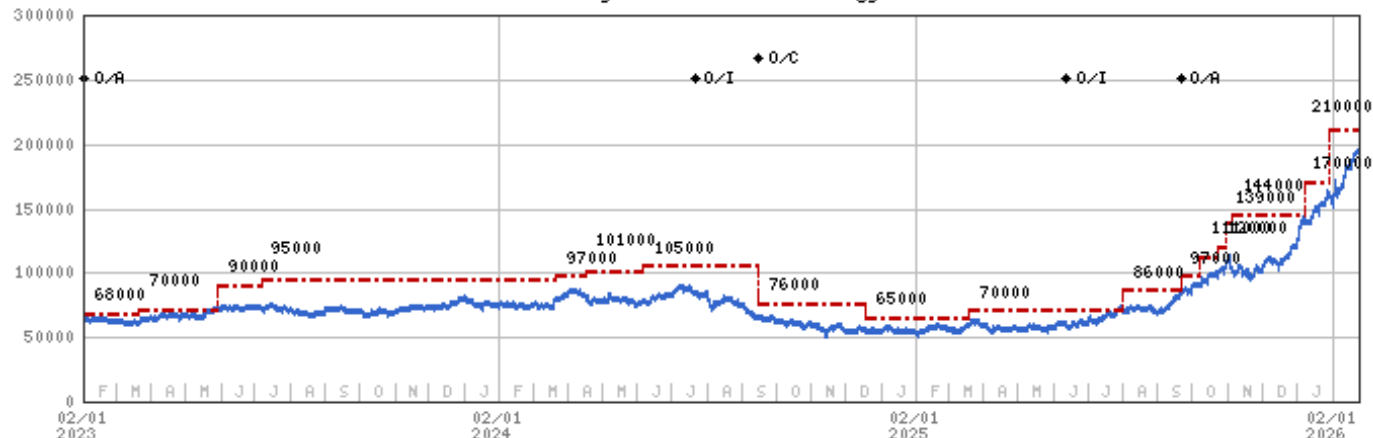
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Samsung Electronics (005930.KS) - As of 02/24/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 2/1/21 : O/A; 7/19/21 : O/I; 8/12/21 : O/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 1/12/21 : 110000; 2/25/21 : 115000; 5/18/21 : 93000; 6/8/21 : 98000; 8/12/21 : 89000; 9/15/21 : 95000; 12/3/21 : 97000; 3/18/22 : 95000; 4/28/22 : 85000; 6/10/22 : 80000; 7/5/22 : 75000; 7/22/22 : 70000; 9/17/22 : 68000; 3/21/23 : 70000; 5/30/23 : 90000; 7/7/23 : 95000; 3/22/24 : 97000; 4/16/24 : 101000; 6/6/24 : 105000; 9/15/24 : 76000; 12/18/24 : 65000; 3/19/25 : 70000; 8/1/25 : 86000; 9/21/25 : 97000; 10/8/25 : 111000; 10/23/25 : 120000; 10/30/25 : 139000; 11/5/25 : 144000; 1/8/26 : 170000; 1/30/26 : 210000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

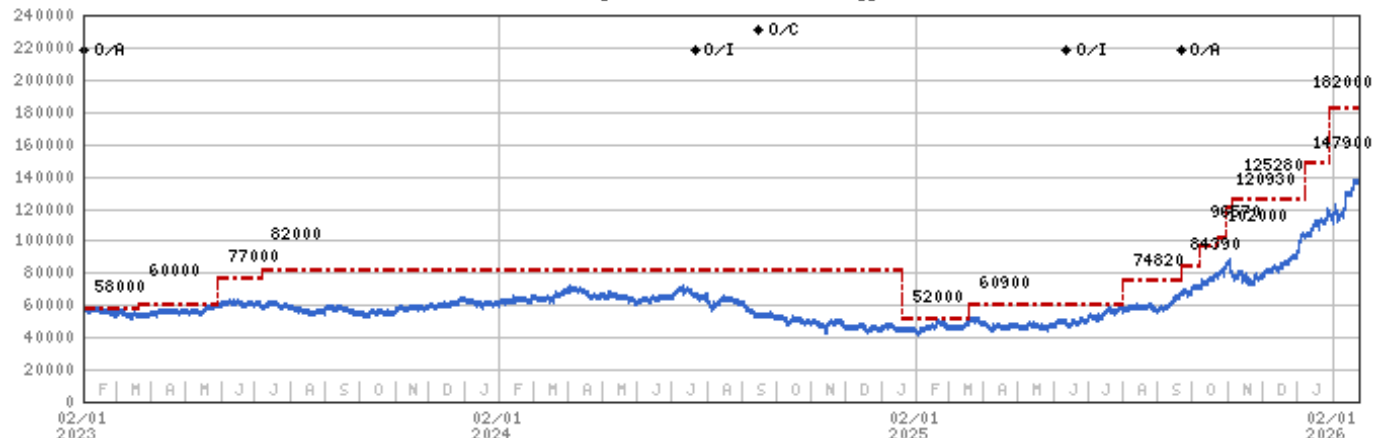
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Samsung Electronics (005935.KS) - As of 02/24/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 2/1/21 : O/A; 7/19/21 : O/I; 8/12/21 : O/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 1/12/21 : 90000; 5/18/21 : 80000; 6/8/21 : 84000; 8/12/21 : 77000; 9/15/21 : 82000; 12/3/21 : 83000; 3/18/22 : 82000; 4/28/22 : 73000; 6/10/22 : 69000; 7/5/22 : 65000; 7/22/22 : 60000; 9/17/22 : 58000; 3/21/23 : 60000; 5/30/23 : 77000; 7/7/23 : 82000; 1/20/25 : 52000; 3/19/25 : 60900; 8/1/25 : 74820; 9/21/25 : 84390; 10/8/25 : 96570; 10/23/25 : 102000; 10/30/25 : 120930; 11/5/25 : 125280; 1/8/26 : 147900; 1/30/26 : 182000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: S. Korea Technology

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/24/2026)
Ryan Kim		
Ecopro BM (247540.KQ)	U (03/20/2023)	W213,500
Fadu Inc (440110.KQ)	O (09/21/2025)	W54,400
Hanmi Semiconductor Co. Ltd. (042700.KS)	O (08/16/2024)	W210,000
HD Hyundai Electric Co Ltd (267260.KS)	O (03/25/2025)	W1,070,000
Isu Petasys Co. Ltd. (007660.KS)	O (02/03/2025)	W111,900
L&F Co Ltd (066970.KS)	E (04/03/2025)	W124,500
Leeno Industrial Inc. (058470.KQ)	O (04/03/2025)	W97,200
Lotte Energy Materials Corp (020150.KS)	U (04/03/2025)	W44,650
LS Electric (010120.KS)	O (01/22/2026)	W746,000
POSCO FUTURE M (003670.KS)	U (04/03/2025)	W236,000
SK IE Technology (361610.KS)	U (04/03/2025)	W27,300
Wonik IPS Co Ltd (240810.KQ)	O (08/08/2025)	W116,500
Shawn Kim		
LG Display (034220.KS)	E (06/11/2025)	W14,060
LG Electronics (066570.KS)	E (04/07/2025)	W134,500
LG Innotek (011070.KS)	E (03/12/2025)	W276,500
Samsung Electro-Mechanics (009150.KS)	O (07/31/2025)	W446,000
Samsung Electronics (005935.KS)	O (11/18/2019)	W140,900
Samsung Electronics (005930.KS)	O (11/18/2019)	W200,000
Samsung SDI (006400.KS)	E (12/18/2024)	W421,500
Seoul Semiconductor (046890.KQ)	U (04/04/2018)	W9,520
SK hynix (000660.KS)	O (09/21/2025)	W1,005,000

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